
Australian net overseas migration, jobs, growth and higher education - Labor, Coalition and One Nation settings compared - Narrative Report

Three election cycles to the end of May 2034

Andrew Flitman

iMORSE

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Executive Summary

The intent of this report is to explain a system dynamics model of Australian net overseas migration, its economy and its international education sector, and what the model says about the three party settings now on the table, in terms an academic or policy reader can test. It is not a manual; the specification and the dashboard reference are separate documents.

The finding is simple to state. Much of the fall in migration over the next two years is already decided by the departure of the 2022-23 cohorts: under current settings the year-ending figure falls from 301,814 today to 293,146 by June 2027 without any new policy. The party settings then move migration a long way and the economy less. Their effect on unemployment is mostly a matter of timing: the deep cuts lower it for a year or two, then raise it once demand has shrunk with the population. Living standards, measured as GDP per person, are set by productivity, not by any migration setting.

In the education sector, Labor's settings mostly change where students go and the caps change how many come. Under current settings every provider type sits well under its share of the planning level (39.9% for universities at the end of May 2034); Labor's upward-only rule cuts the hop down the price ladder to 139.7 a year by June 2028 and lifts private higher education's allocation use to 91.8%; the Coalition and One Nation caps cut tuition income. Filling the planning level needs demand, not a rule.

The model reproduces the 2018-2026 record for migration, unemployment, employment and total GDP within iMORSE modelling tolerances declared before the test (unemployment 31 of 32 points, net overseas migration 23 of 28), and the direction of the sector's source-market shares (10 of 18). It carries the pandemic quarters in shape rather than size, counts people where the sector's published data count courses, and says so.

The next step is to run the settings a government is actually weighing against this baseline, and to put better evidence under the two assumptions that carry the results: how quickly new residents' spending becomes jobs, and how strongly students respond to the gap between university and private fees.

1 Introduction

The intent of this report is to set out how the model sees the migration system, what evidence it was built on, how far it can be trusted, and what it says. The audience is a reader who wants the argument, not the equations. The Model Specification and the Model Components standard in the iMORSE modelling methodology reference carry the formulation and the dashboard in full.

The model runs from July 2018, which gives it the whole pandemic cycle to reproduce, to the end of May 2034. The forward horizon is deliberately three full federal terms, to the elections due in May 2028, May 2031 and May 2034, because that is the cycle over which these settings are decided and judged. It compares Labor's September 2026 package, the Coalition's rule tying migration to dwelling completions and One Nation's rule for three years of net negative migration, each on the same baseline and in the same units. The model adds the international education sector: students by provider type, the planning level and Ministerial Direction 115, the source markets, and three archetype providers that read the sector's conditions.

2 The Problem

Net overseas migration is the difference between two flows that politics treats as one dial. Policy sets arrivals only partly, because the temporary program is uncapped and demand-led. Departures are set by the stock of temporary visa holders who arrived two to four years earlier. The record shows the consequence: migration of about 241,000 in 2018-19, minus 85,000 in 2020-21 when the border closed, a record 548,800 in the year to September 2023, and a fall quarter after quarter to 292,100 in the year to March 2026 (ABS). Meanwhile bridging visa holders have doubled to more than 400,000 (Home Affairs).

The economy moved with it. Unemployment rose to 7.5% in July 2020, fell to a 48-year low of 3.4% in 2022 and has drifted back to 4.65% in August 2026 (ABS Labour Force). Real GDP per person fell for seven consecutive quarters to September 2024 while total GDP grew (ABS National Accounts). The share of occupations in shortage rose from 19% in 2021 to 36% in 2023 and eased to 29% in 2025 (Jobs and Skills Australia).

International education is the largest single stream in that record. Students are the largest temporary visa class, and the sector is now governed by a national planning level of 295,000 new commencements, split across provider types, with Ministerial Direction 115 slowing visa processing for providers above 80% of their allocation. Commencements run under the planning level; the binding settings are refusal rates, which differ sharply by source market, and the rules on moving between courses. Students who finish a university course and move to a cheaper private or VET place - the hop down the price ladder - stay in the country on a new visa, which is one reason the stock has fallen more slowly than arrivals.

This is a dynamic problem. It is made of accumulations (cohorts of students, graduates and working holiday makers, a queue of bridging visa holders), delays (courses, visas, appeals, the ABS reporting lag, the lag between a new resident arriving and the jobs their spending creates) and feedback (housing pressure and unemployment feeding political pressure on settings; lost tuition income feeding the sector's pressure the other way). That is the ground system dynamics was built for (Forrester 1961; Sterman 2000).

3 How the Model Sees the System

The model's causal structure is a set of 36 feedback loops, each shown in Figure 1. They are told here one at a time; the model runs them all at once.

B1, Shortage relief (balancing). An intended corrective loop. A widening skills shortage raises pressure to loosen migration intake settings; looser settings raise migrant arrivals; after a workforce-entry delay those arrivals add to skilled labour supply, which closes the shortage. It is balancing, but two delays sit inside it: the policy-response lag between a visible shortage and a settings change, and the multi-quarter lag between a grant and workforce participation.

B2, Housing brake (balancing). A demand-side recalibration loop. More arrivals raise housing demand, which lowers the rental vacancy rate and raises rental affordability pressure; that pressure feeds public and political pressure, which tightens intake settings after a political lag, cutting arrivals. It is balancing but slow on both legs, so intake is typically cut well after the housing signal peaks.

B3, Numbers-salience brake (balancing). A direct social-licence loop independent of housing, carried from the June model. A high headline arrivals number raises public and political pressure by its salience alone; that pressure tightens intake settings, which lowers arrivals. Its delay is the political-cycle lag between rising numbers and a settings response.

B4, Employer demand pull (balancing). The wage-signal corrective. Tight labour lifts wage pressure, which through employer and sectoral lobbying pushes intake settings up; higher intake raises arrivals and, after the workforce-entry lag, skilled labour supply, which eases wage pressure. This is the economic counterpart to the social brakes B2 and B3, pushing the same lever the other way.

B5, Housing supply (balancing). The ordinary real-estate balancing loop. High rental affordability pressure raises the incentive to build; completions raise the vacancy rate, which lowers pressure. It carries the longest delay in the system, from price signal through approvals, starts and construction to completion, and is a generator of housing overshoot even before migration is considered.

B6, Stock departures (balancing). The self-correcting outflow that produced the recent NOM fall, now applied to every temporary class. A larger population of students, graduates, working holiday makers or skilled temporary holders generates, after the course or visa duration, more departures, which drain the stock back down. It is a stock-control loop: what flows in as temporary migration must, for most, flow out at visa end.

R1, Construction trap (reinforcing). A counter-intuitive loop. When pressure cuts intake settings to relieve housing, it also cuts arrivals into construction labour; with fewer trades, completions fall over the build lag, vacancy drops, rental pressure rises, public pressure rises further and intake is cut again. Tightening migration to fix housing starves the workforce that builds housing.

R2, Study-to-stay pull (reinforcing). The growth engine of the temporary-to-permanent pipeline. Students feed, after the study delay, the graduate population, which feeds skilled temporary and then the settled migrant population; established communities and a demonstrated onshore pathway raise source-market demand, lifting arrivals and the student intake again. It compounds along multi-year delays, which is why the pipeline rebounded so fast after the border reopened.

B7, Permanent commons (balancing). A shared resource. The permanent program is held at 185,000 places and is drawn on by every temporary stream through the pathway. As the graduate and skilled temporary populations grow, competition for those places rises and the odds of a permanent outcome for any one entrant fall; after a lag that lower probability reduces the study-to-stay pull on source-market demand, cutting arrivals and, eventually, the student population that feeds the queue.

R3, Queue attracts claims (reinforcing). The visa-hopping engine. A larger bridging population lengthens the time to final determination through the tribunal and court pipeline (the Minister's nine years); a longer wait raises the attractiveness of lodging an onshore application whatever its merit, because the wait itself carries work rights; more onshore transitions add to the bridging population. It is reinforcing, and it is why adding decision capacity alone shortens the queue only until the incentive refills it.

R4, Long-stay entrenchment (reinforcing). A second hopping loop, distinct from R3 because it runs through eventual outcomes rather than waiting time. The longer people remain in the bridging population, the deeper their community ties (Australian-citizen children, local integration) and the higher the probability that, in the Minister's words, it becomes absurd not to let them stay; a higher

eventual grant probability raises the attractiveness of the onshore route, which raises transitions into the bridging population. Its delay is measured in years, which is why the stock, once built, resists draining.

B8, Deterrence loop (balancing). The loop the Minister is trying to restart. A larger overstayer and bridging population draws compliance and removal activity, limited by the capacity available to overstayers rather than the character-cancellation caseload (the shared-capacity note from Stage 1); visible removals raise, after a slow perception lag, the expected consequence of overstaying, which lowers the attractiveness of the onshore route and cuts transitions into the bridging population. Compliance activity also feeds departures directly.

B9, Integrity brake (balancing). The regulator's response and its cost. Rising onshore transitions of the hopping kind draw a tighter refusal rate and scrutiny after a policy lag; higher refusals cut arrivals directly and, one or two intakes later, cut source-market demand as agents redirect applicants to Canada and the United Kingdom; fewer arrivals mean a smaller student population and fewer transitions. It is balancing, and it works, but it acts on genuine and non-genuine demand alike: the 21,000 higher education refusals in the first half of 2026 fell hardest on India, Nepal and Bangladesh.

R5, Progression retention (reinforcing). The retention loop inside the student stock. A larger student population generates more onshore transitions at course end, and each transition to a new course (including the hop down to a cheaper provider) returns the person to the student population rather than to departures, so the stock stays high and the departures loop B6 is weakened. It reinforces the stock even though each transition is individually small.

R6, Completions-cap spiral (reinforcing). Scenario-only: this loop exists when the Coalition's one-person-per-dwelling rule is switched on. The rule ties intake settings to prior-year completions; settings set arrivals; arrivals supply construction labour after a skills-pipeline lag; construction labour raises completions after the build lag; and higher completions raise the cap. It is reinforcing in both directions: a good build year loosens migration and adds trades, a bad one tightens migration and removes them.

B10, Household size (balancing). The Minister's housing argument. Rental affordability pressure raises persons per dwelling as people double up, after a lag; more persons per dwelling lowers housing demand for a given population, raising vacancy and easing pressure. Run in reverse it is the story since the Hawke years: household size fell from 2.9 to 2.5 while homes grew twice as fast as people, and every 0.1 fall requires about 450,000 more dwellings.

B11, Capacity catch-up (balancing). As the bridging queue grows, government adds decision processing capacity - departmental decision-makers, tribunal members and court resources - after a budget and recruitment lag; more capacity finalises more cases at every stage (primary, tribunal, court), and the queue drains. It is balancing, and it is the symptomatic fix in the Shifting the Burden archetype: it works on the queue without changing the incentive to join it.

B12, Faster decisions, weaker pull (balancing). The second route by which capacity acts: more decision capacity shortens the time to final determination, which lowers the attractiveness of lodging an onshore application for the wait itself, so fewer people transition into the bridging population. It is balancing and runs against R3 (Queue attracts claims): the same wait-time link that lets the queue feed itself lets added capacity starve it.

R7, Onshore visa churn (reinforcing). Most onshore applications from bridging visa holders are for a further temporary visa - a student visa above all, some skilled sponsorship and other temporary classes. A grant moves the person out of the bridging population and into the student or skilled temporary population, so the queue is relieved; but at the end of that course or visa the same person reaches another onshore transition point, and a share lodges again.

R8, Income multiplier (reinforcing). More demand for labour means more people in work, more output and more income, and that income is spent, which raises demand for labour again. This is the ordinary spending multiplier. It is reinforcing but strongly damped, because part of every dollar of income leaks into saving, tax and imports, so each round is smaller than the last.

R9, Growth feeds its own shortage (reinforcing). Migrants fill jobs, but they also need housing, schools, health care and shops, so a larger population raises demand for labour. Higher demand lifts skills shortages, shortages push the settings towards more skilled intake, and more arrivals raise the population again. This is the demand side of the offset that Stage 1 recorded as full but lagged: arrivals add to labour supply at once and to labour demand over roughly one to two years.

B13, Jobless brake (balancing). Arrivals join the labour force straight away. If jobs have not caught up, unemployment rises; rising unemployment adds to public and political pressure alongside housing, and the settings tighten, which slows arrivals. It is the labour-market twin of the housing brake (B2).

B14, Job-prospects brake (balancing). Prospective migrants watch the job market. When more arrivals push unemployment up, Australia becomes a less attractive place to come and work or study, applications fall, and arrivals slow without any change in the settings. Working holiday makers and skilled applicants respond fastest; students respond through the part-time work and post-study prospects that come with a place.

R10, Jobs attract arrivals (reinforcing). The same job-prospects link runs the other way once the demand offset arrives. A larger population raises demand, demand creates jobs, unemployment falls, Australia looks more attractive, and more people apply and arrive. Together with B14 it means the labour market's pull on migration depends on timing: early in a surge supply outruns demand and the brake (B14) dominates; later the new residents' spending has created jobs and this loop takes over.

B15, Sponsorship pull (balancing). Shortages pull applicants directly, not only through the settings: employers in short-staffed occupations sponsor more workers and more people apply for the occupations on the shortage list. Those arrivals add to skilled labour supply and ease the shortage. It is the market counterpart of the policy loops B1 and B4, and it acts faster, because it does not wait for a settings change.

B16, Slack eases shortage (balancing). Shortages are measured against the pool of people looking for work: the more unemployed people there are, the easier vacancies are to fill. A shortage-led increase in intake enlarges the labour force, adds slack while demand catches up, and eases the measured shortage. This is the loop through which the new shortage measure (vacancies relative to unemployed people) responds to migration, and it only holds while the demand offset lags; once R9's extra demand arrives, part of the relief is taken back.

B17, Price-ladder drain (balancing). The more international students universities hold, the more of them finish a course each year, and some of those move down the price ladder to a cheaper private

higher education or VET place rather than progressing or leaving. The hop drains the university cohort in proportion to its size. How strong the drain is depends on the fee gap (a \$40,000-plus university place against a \$24,000 private one), on the work-rights value of staying enrolled, and on the upward-only rule: from its start date moves down the qualification scale step, while same-level moves between providers continue on a new, tested visa.

B18, Scrutiny caps the hop (balancing). Each hop is an onshore visa application. A rising volume of onshore applications draws closer scrutiny (the genuine-student test, the new-visa requirement for transfers) and a higher refusal rate, which makes the next hop less likely to succeed and so less attractive. It is the higher education face of the integrity brake (B9), acting on the transfer channel rather than on offshore demand.

B19, Shared allocation throttle (balancing). Each provider type's allocation under the planning level is used up by new commencements. As offshore commencements use it up, headroom shrinks, and once a provider passes 80 per cent of its allocation MD115 moves its offshore applicants from priority 1 to priority 2 (and to priority 3 past 115 per cent). Slower processing loses applicants to other providers and other countries, and offshore arrivals slow.

B20, Transfers crowd out offshore intake (balancing). The planning level is a shared resource: onshore transfers into a provider count against its allocation as well as offshore commencements, and MD115 throttles only the offshore draw. So the hop down the ladder uses up the private providers' headroom first; if they near 80 per cent, their offshore applicants slow, fewer new students arrive, and in time fewer finish and hop. This is the tragedy-of-the-commons coupling Stage 1 flagged: two inflows drawing one pool, one of them unthrottled.

R11, Peer and agent networks (reinforcing). Students already enrolled at private providers pull in the next cohort from the same communities, through family and peer networks and the education agents who serve them. A larger South Asian cohort in private higher education raises the South Asian share of applicants, and South Asian applicants choose private providers and VET more than universities, which enlarges the cohort again. It is the diaspora loop (R2) at the level of provider choice, and it is why private higher education enrolments grew from about 81,000 (2019) to 137,000 (2025) while university enrolments grew far less in proportion.

B21, Integrity targeting (balancing). VET students from high-risk markets are the most likely to move onto bridging and other visas once enrolled. As that pattern grows, scrutiny and refusals rise for the markets and the sector concerned (VET primary grant rates fell from 80 per cent in 2018-19 to 52 per cent in 2025-26; February 2026 refusal rates were 40 per cent for India, 51 for Bangladesh and 65 for Nepal), which lowers the South Asian share of new applicants and so the VET intake. It is the brake on R11, and it explains most of the 2025 collapse in VET and ELICOS commencements.

B22, Sector revenue brake (balancing). When settings tighten, fewer students come, education export income falls, and the sector and the states it employs in press for the settings to be eased - as they did over the caps legislation, the visa fee and the 2026 planning level. The pressure loosens settings and arrivals recover. It counterweights the housing and numbers brakes (B2, B3) that tighten on the same arrivals.

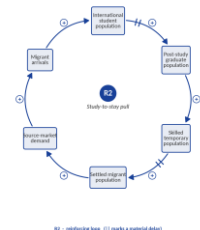
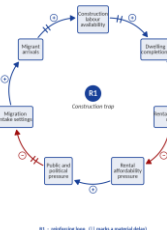
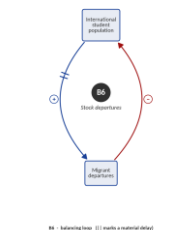
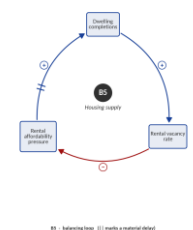
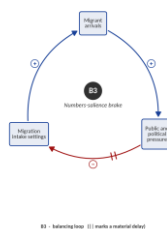
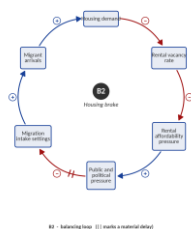
R12, Education exports feed jobs (reinforcing). International students pay fees and spend on rent, food and transport, so a larger cohort lifts demand and jobs. A stronger job market makes Australia

more attractive to the next cohort (part-time work and post-study prospects), which enlarges the cohort again. It is the education sector's share of the income multiplier (R8) and the jobs pull (R10).

B23, Own-allocation throttle (balancing). This is a provider plug-in in the model. For each archetype (private city provider, mid-tier university, domestic specialist) commencements use up its own allocation; past 80 per cent its offshore applicants fall to priority 2, past 115 per cent to priority 3, and slower processing loses applicants. All three archetypes start well below 80 per cent (Stage 1), so the loop is a ceiling to reach rather than a constraint now.

R13, Utilisation earns allocation (reinforcing). Allocations follow use: in 2026 universities making good progress could apply for more places, and the Australian Tertiary Education Commission will set 2027 allocations with utilisation in view. A provider that fills its allocation earns a larger one, which keeps it clear of the MD115 thresholds and lets it grow; one that under-fills risks a smaller allocation next year. Run backwards it is a drifting goal: a demand-limited provider's allocation can drift down to what it achieved.

Read together, the loops form recognisable archetypes (Senge 1990). The study-to-stay pipeline is limits to growth, held back by housing, public pressure, the permanent places and earlier cohorts' departures. Cutting intake to ease housing, and skilled migration to ease shortages, are both shifting the burden: quick fixes that leave the slow fix (building, training) undone, and the hop down the price ladder is the same pattern inside the sector. Several loops are fixes that fail, most clearly the one in which intake raised to fill shortages raises the demand that recreates them. Capacity lagging the bridging queue is growth and underinvestment; the permanent places and each provider type's share of the planning level are commons; allocations that follow use are success to the successful, and party targets that move with the record are drifting goals.





87 - Substituting loop (1) marks a material delay



88 - Reinforcing loop (1) marks a material delay



89 - Reinforcing loop (1) marks a material delay



90 - Substituting loop (1) marks a material delay



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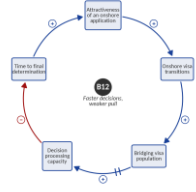
91 - Reinforcing loop (1) marks a material delay



92 - Substituting loop (1) marks a material delay



93 - Substituting loop (1) marks a material delay



94 - Substituting loop (1) marks a material delay



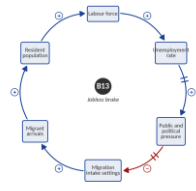
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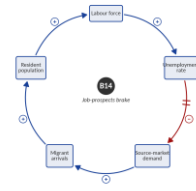
96 - Reinforcing loop (1) marks a material delay



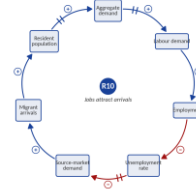
97 - Reinforcing loop (1) marks a material delay



98 - Substituting loop (1) marks a material delay



99 - Substituting loop (1) marks a material delay



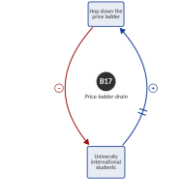
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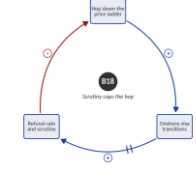
101 - Substituting loop (1) marks a material delay



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103 - Substituting loop (1) marks a material delay



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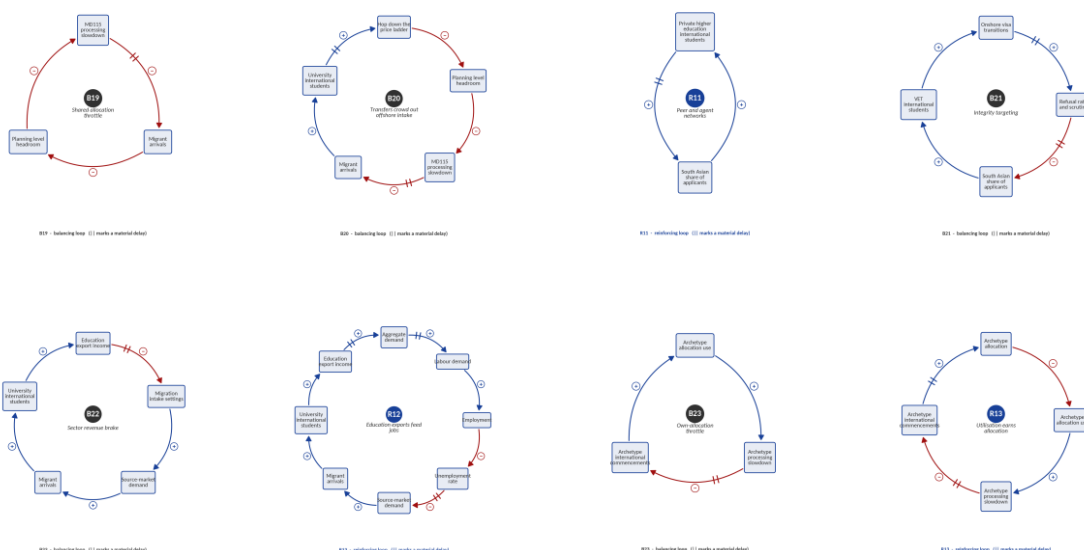


Figure 1. The model's feedback loops. The model combines these into a single integrated system.

4 From Diagram to Simulation

A loop diagram shows what drives what; a simulation needs to know what accumulates. The model keeps as stocks every quantity that persists when its flows stop: each temporary visa class and year, the bridging queue at each stage of review, the permanent places, the dwellings under construction and the stock of dwellings, public pressure, employment, the demand base, household income and job prospects, and - in the sector - the students enrolled with each provider type, each source market's share of applications, the scrutiny of South Asian applications, the smoothed commencement rates that allocation use is measured on, and each archetype's allocation. Each visa pipeline conserves people: everyone who arrives is somewhere until they depart or become permanent.

Some things are deliberately outside the model. World demand for Australian education, the natural increase of the resident population and the business cycle before 2026 are driven from the record rather than explained. So is productivity, which is why it is a lever with two reference values rather than an outcome. Provider fees are levers, not decisions the model makes, and the archetypes are one-way: they read their provider type's flows and write nothing back.

The delays are where the behaviour lives. Courses take two to four years; working holiday visas run in yearly steps; reviews take years; the ABS year-ending figure trails the flows by about two quarters; the jobs created by new residents follow their arrival by about a year; and allocations follow use with a lag. Every surprising result in section 6 comes from one of these.

5 Evidence and Validation

The model was calibrated to 105 published series and anchors with 859 dated points: net overseas migration and its components (ABS), visa holders, grants and refusals (Home Affairs), the tribunal and courts, dwelling commencements and completions, rental vacancy, unemployment, the labour force, employment, real GDP, GDP per person, job vacancies, the Occupation Shortage List, and

international student commencements and enrolments by provider type and source market (Department of Education). Of those targets 50 are firm (published directly), 42 approximate and 13 proxies. The unemployment rate at full employment was anchored to the RBA's 4.6% estimate rather than fitted; 205 parameters were fitted to the backcast, 124 anchored and 113 set by judgement, each listed in the Parameter Provenance ledger. The sector was fitted with every step-one parameter outside the student block held at its validated value, so adding the sector did not re-open the national fit.

Validation came in two stages. First, is the model built correctly? The dashboard engine reproduces the reference implementation to machine precision; a vendor-neutral XMILE export reproduces it in PySD; every policy lever moves the model; and every forward bound to 2036 holds. Of the extreme-conditions tests, two timing checks failed: after an extreme capacity shock the queue is cleared so fast that the point-in-time removal and decision rates fall below the baseline's, although the cumulative totals move the right way. Second, does it reproduce reality? Figure 2 shows eight of the series, two of them from the sector, against the record, with the tolerance declared before the test. Year-ending net overseas migration is inside tolerance at 23 of 28 points, unemployment at 31 of 32, workers and jobs at 62 of 65 and total GDP at 31 of 32.

It is weaker where the pandemic dominates and where the units differ. Temporary visa holders by class score 43 of 70, because the model has no pandemic-event visa and no 2022-23 graduate concession; real GDP per person scores 25 of 32 against a tight 1% band; and vacancies per unemployed person score 9 of 32, with the 2022 peak understated and late. In the sector, source-market shares score 10 of 18, but commencements by provider type score only 27 of 145: the published series count courses and the model counts people, and a student can start several courses a year. These were accepted as documented limitations rather than fitted away, with the routes that would close them recorded.

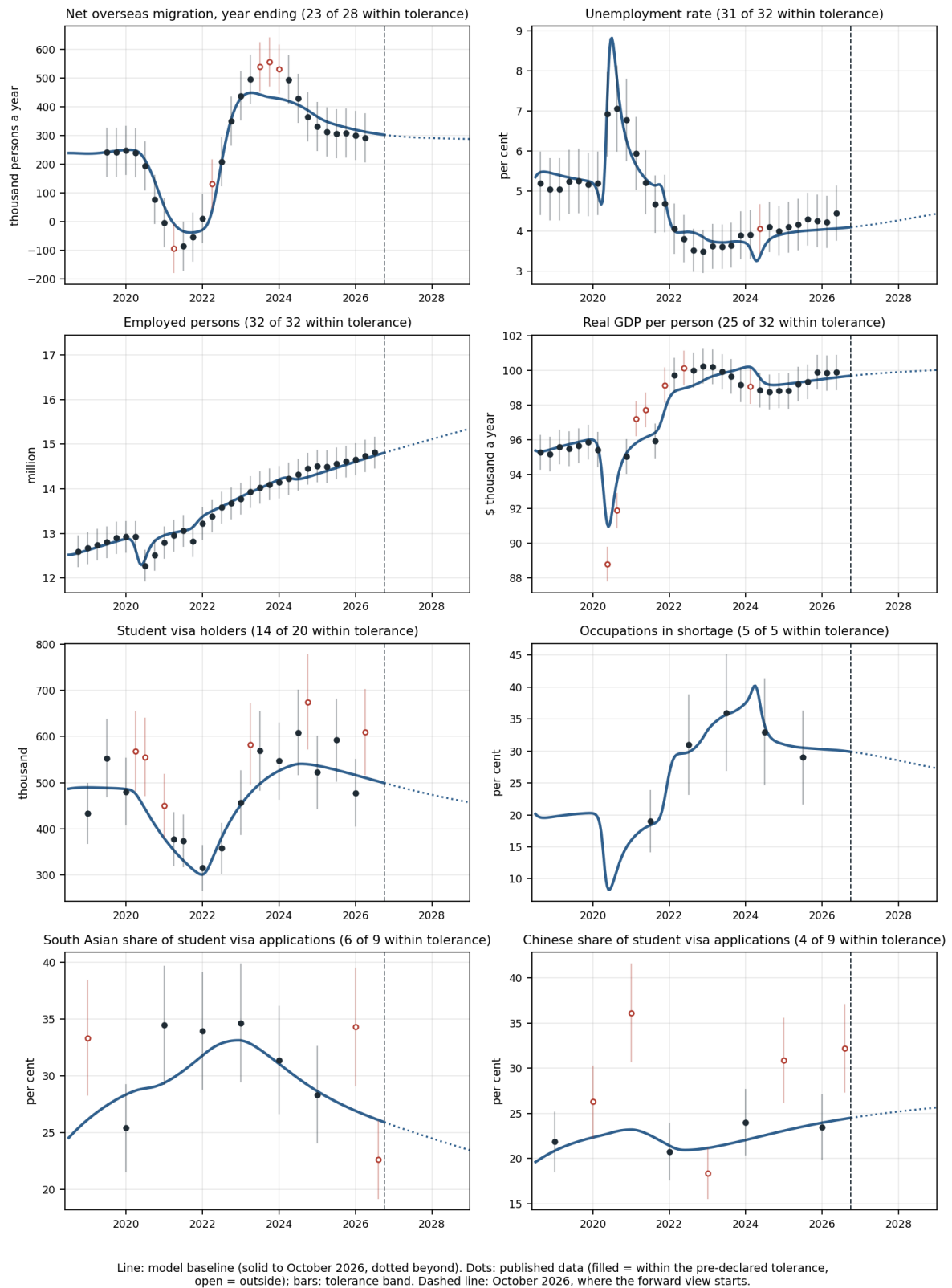


Figure 2. The baseline backcast against the published record, July 2018 to October 2026. A reading note: the solid line to the left of the dashed line is the calibrated replay; the dotted line to its right is the forward baseline, not history.

6 What the Model Says

First, the fall is already under way. With no new policy the year-ending figure falls from 301,814 today to 293,146 by June 2027 and 264,914 at the end of May 2034. The departures of the 2022-23 cohorts do the work, and the reporting lag means no lever can change much of the 2026-27 figure.

Second, each party setting trades migration for a labour-market effect that fades, and for the deep cuts changes sign. Labor's package takes the year-ending figure to 174,352 in 2027-28 and unemployment to 3.978% against 4.350% at baseline. One Nation's takes migration negative (-12,846 in 2029-30) and unemployment to 3.679% in 2029, while the share of occupations in shortage jumps to 33.4%. The Coalition's rule settles at 187,782 at the end of May 2034, just above a ceiling it chases. At the end of May 2034 the unemployment rate is 4.7% under Labor, 5.4% under the Coalition and 5.8% under One Nation, against 5.0% at baseline. The deep cuts reverse their own early benefit: fewer arrivals lower unemployment for a year or two, then demand shrinks with the population and the rate ends above the baseline (the Coalition and One Nation). It ends below the baseline under Labor.

Third, living standards are a productivity question. Growth in GDP per person is 0.21% a year at the end of May 2034 at the recent productivity trend and 1.39% at the Intergenerational Report's 1.2%. No migration setting comes close to that difference; One Nation's cut lowers it, to -0.441% a year in 2032, as demand shrinks with the population.

Fourth, shortages answer to training. About 25% more domestic entry to skilled work takes the share of occupations in shortage to 17% at the end of May 2034; migration cuts ease it only by shrinking demand along with supply. The one assumption that would change these conclusions is the demand offset: at half strength, unemployment under current settings reaches 7.3%.

Fifth, the sector is short of students, not places. Under current settings allocation use at the end of May 2034 is 39.9% for universities, 49.2% for private higher education and 36.1% for VET. Labor's upward-only rule changes where students go: the hop down the price ladder falls from 3,264 to 139.7 a year by June 2028, and private higher education's use rises to 91.8%. The Coalition and One Nation caps cut tuition income to \$7.467 billion and \$6.0 billion a year against \$9.448 billion. Filling the 295,000 places takes underlying demand raised from 133,135 to 318,135 a year; it lowers unemployment to 3.6% and raises shortages to 43%, because students are workers and customers too.

Sixth, each of the archetype providers show what the national settings mean for one model institution. At current settings their international revenue at the end of May 2034 is 63.7%, 70.5% and 57.1% of 2025 for the private city provider, the mid-tier university and the specialist; under Labor's package 101.8%, 87.9% and 107.9%. A provider's own fee cut buys allocation use - archetype A's rises to 57.6% against 48.2% - but not revenue (62.9% against 63.7%). And because allocations follow use, a provider that cannot fill its places is given fewer of them: the goal drifts to the performance.

7 Boundary and Limitations

The model does not forecast. It compares settings on a common baseline. Its levels are calibrated to the record, but the size of each party's unquantified levers (how hard a cap cuts grants, how far

refusal rates rise) is set by judgement and flagged. The pandemic quarters are reproduced in shape, not size, and labour-market tightness should be read as a direction. Productivity, world education demand and the business cycle are outside the model. The bridging population's long-run level is a range, not a point. In the sector, commencement levels by provider type are not validated because the published data count courses; the 2024 surge of onshore private enrolments and the 2026 spike in refusals are not reproduced in size; the hop's response to the fee gap and several exit propensities are held defaults flagged for testing; and the archetypes are stylised providers, not institutions. Read shapes, not points.

8 Conclusion

Migration is falling already, the party settings mostly change how fast and how far, and the deep cuts' effect on jobs changes sign as demand follows population. What decides living standards is productivity; what decides shortages is training; what fills the education sector's places is demand, which the settings can protect or cut but cannot create. The next step would be to test the settings a government is actually weighing, and to tie down the demand offset and the fee response with better evidence.

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